

was reversed on appeal by the Lord Chancellor (*g*); and this reversal was afterwards affirmed on the final appeal by the House of Lords (*h*).

7. Whether executors may place money in bank payable to either of the co-executors.—In a case before Sir A. Hart, in Ireland, an executor was held to be justified, though he had placed the assets in a bank so as to be under the control of the co-executor. The money was entered in the books to the *joint* account of the co-executors, but the bank was in the habit of answering the cheques of either *co-executor *singly*. “It is the custom of bankers,” [*297] said Lord Chancellor Hart, “that what is deposited by one to the joint account may be withdrawn by the cheque of the other; and for convenience of business, it is necessary this risk should be incurred, for it would be very hard to transact business if every cheque should be signed by all the executors” (*a*). However, his Lordship admitted that “if there were any fraud or collusion, wilful default or gross neglect, or if the executor had any reason to put a stop to the mismanagement by the co-executor, the case would be altered” (*b*). But even with this qualification the doctrine is so contrary to the principle of other cases that no trustee or executor could be advised to rely upon it in practice (*c*).

8. Trustee responsible for bank if he ought not to have placed the money there.—The trustee will also be answerable for the failure of the bank, if he deposited the money there for safe custody, when it was his clear duty to have invested it in the funds for improvement (*d*), or if he left it there when he ought to have paid it to new trustees duly appointed (*e*), or into Court (*f*); or if when the purposes of

(*g*) 2 R. & M. 215.

(*h*) Id. 220. See the argument of Lord Brougham stated from MS. in 3d Edition, p. 335.

(*a*) Kilbee v. Sneyd, 2 Moll. 186, see 200, 213.

(*b*) Id. 203, 213.

(*c*) See Clough v. Dixon, 8 Sim. 504; 3 M. & Cr. 490; Gibbins v. Taylor, 22 Beav. 344; Ingle v. Partridge, 32 Beav. 661; 34 Beav. 411.

(*d*) Moyle v. Moyle, 2 R. & M. 710; Sir W. P. Wood in Johnson v. Newton, 11 Hare, 169, called it a very strong case, and hard upon the executors.

(*e*) Lunham v. Blundell, 4 Jur. N. S. 3.

(*f*) Wilkinson v. Berwick, 4 Jur. N. S. 1010.